

FEDERAL MARITIME COMMISSION

Office of the Administrative Law Judges

FAISAL ASGHAR, *Claimant*

v.

MOHIB TRADING LLC, CH TRADERS LLC, AND RSA
GLOBAL LOGISTICS LLC, *Respondents*.

DOCKET NO. 2055(I)

Served: July 27, 2026

ORDER OF: Debra L. TESH, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION AND SUMMARY OF DECISION

This proceeding arises from a complaint (“Claim”) and supporting evidence filed by Faisal Asghar (“Claimant”) against Mohib Trading Company LLC, CH Traders LLC, and RSA Global Logistics LLC (“Respondents”) with the Federal Maritime Commission (“FMC” or “Commission”). The Claim alleges Respondents violated 46 U.S.C. § 41102(c) of the Shipping Act in connection with the transport of a personal vehicle from the United States to the United Arab Emirates.

Claimant alleges he entered into an agreement with Respondent CH Traders LLC (“CH”) to arrange for international shipping of a Mercedes-Benz from New Jersey, United States, to Jebel Ali, United Arab Emirates (“UAE”). CH then engaged RSA Global Logistics, LLC (“RSA”) to transport the shipment. According to Claimant, CH informed him that Mohib Trading LLC (“Mohib”) would be the destination agent in the UAE. Claimant was instructed to contact Mohib for release when the vehicle arrived. Claimant contends he contacted Mohib as instructed and was told it would be approximately one month for the vehicle to clear customs. Based on these representations, Claimant waited for Mohib to contact him. After approximately three months, Claimant asserts he learned that Mohib had possession of the vehicle and refused to release it to Claimant until a debt was paid from another party. Claimant further asserts that Mohib demanded \$17,000 in repairs and additional storage. The vehicle was in good condition when shipped and Claimant states he did not authorize any repairs and has no involvement with debts owed to Mohib from other parties. Despite attempts to assert his ownership right, including filing a police report and retaining an attorney, Mohib continues to withhold the vehicle. Claimant seeks reparations in the amount of \$40,000 for the loss of the vehicle, wrongful detention of his property, unauthorized repairs, and storage costs. *See Claim; C. Resp. Order.*

Despite several prompts, Respondent Mohib did not file a formal response as required by 46 C.F.R. § 502.304(e). After service of the Claim, Respondent Mohib sent two emails to

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

Claimant, copying OALJ, setting forth its position regarding the Claim, which will be considered as this Respondent's argument. *See* April 9, 2026 Emails.

Respondent Mohib's position, however, is not entirely clear. Respondent appears to acknowledge receipt of the shipment and contends that funds Claimant paid to Respondent CH were applied toward the shipping and import costs Respondent identified in the emails. Respondent further asserts that it can substantiate those costs with receipts. It is unclear whether Respondent contends that it had any direct contact with Claimant after the shipment arrived. Nevertheless, Respondent states that it is prepared to return the shipment against any refund of the expenses incurred at the port of loading and the port of discharge. *Id.*

Respondents CH and RSA neither filed a response to the Claim, nor otherwise appeared in this proceeding.

As set forth in greater detail below, Claimant has failed to establish that the Commission has jurisdiction over Respondents RSA and CH. The claims against these Respondents are dismissed. Additionally, with respect to Respondent Mohib, Claimant failed to demonstrate that the challenged conduct occurred on a normal, customary and continuous basis as required by 46 C.F.R. § 545.4(b). Accordingly, Claimant has failed to establish Mohib violated 46 U.S.C. § 41102(c), and this claim is dismissed.

II. BACKGROUND

On March 20, 2026, Claimant initiated this proceeding by filing an informal complaint against Mohib, CH, and RSA with the FMC. *See* Claim.

On March 24, 2026, a Notice of Filing of Small Claims Complaint and Assignment ("NOF"), together with a copy of the Claim, was individually served on Respondents advising them that they were each required to file a response to the Claim by April 20, 2026. The NOF also advised each Respondent to indicate whether it consents to the adjudication of the Claim under the informal procedures set forth in Subpart S of the Commission's Rules of Practice and Procedure at 46 C.F.R. §§ 502.301-305. *See* NOF.

After service of the Claim, Claimant and Mohib exchanged multiple emails copying the Office of Administrative Law Judges ("OALJ"). OALJ repeatedly requested that the parties cease sending communications until a Small Claims Officer ("SCO") is assigned and issues an order requesting additional information or documents. *See* Judges' Emails April 8, 17, 27, and June 22, 2026.

On April 9, 2026, Respondent Mohib sent two of the aforementioned party emails setting forth Mohib's position in this matter and included a list of costs it allegedly incurred in association with the shipment. *See* April 9, 2026 Emails.

On April 19, 2026, Respondent RSA acknowledged receipt of the NOF but did not follow instructions to file a formal response as required by 46 C.F.R. § 502.304(e). CH neither acknowledged receipt of the NOF, nor filed a formal response to the Claim as required. *Id.*

On June 30, 2026, the Chief Administrative Law Judge issued a Notice of Assignment (“NOA”) assigning this proceeding to the undersigned as SCO for adjudication. *See* NOA. Because no Respondent indicated lack of consent to the Small Claims procedures, the Commission’s Rules at 46 C.F.R. §§ 502.301-305 govern adjudication of the Claim.

On July 7, 2026, an Order to Show Cause (“Order”) was issued advising all Respondents that a response must be filed by July 21, 2026, or each would be deemed to have waived its right to participate in the proceeding. 46 C.F.R. § 502.304(e). OALJ did not receive a formal response from any Respondent by the due date. As previously noted, Mohib’s April 9, 2026 emails will be considered as its argument. The July 7, 2026, Order also directed Claimant to respond to requests for additional information and documents by July 21, 2026. *See* Order.

On July 17, 2026, Claimant responded to the Order and provided additional information and documents. *See* C. Resp. Order.

III. FINDINGS OF FACT (FF)

1. Claimant, Faisal Asghar, is an individual with a principal place of residence in New York, United States. Claim, at ¶ I.
2. Respondent, Mohib Trading LLC, is a company operating in the UAE. *Id.* at ¶ II(A).
3. Respondent, CH Traders LLC, is an importer/exporter of used auto parts with a principal place of business in New York, United States. *Id.* at ¶ II(B).
4. Respondent, RSA Global Logistics LLC, is a non-vessel-operating common carrier (“NVOCC”) with a principal place of business in Pennsylvania, United States. *Id.* at ¶ II(C). Official notice is taken that Respondent is an FMC licensed ocean transportation intermediary (“OTI”) operating under Organization No. 028055. *See* <https://www2.fmc.gov/oti/> (last visited July 27, 2026); *see also* 46 C.F.R. § 502.226.
5. Claimant is the title owner of a 2015 Mercedes-Benz S50 VIN WDDUG8CB9FA126066. C. Resp. Order, at Exh. A.
6. On August 27, 2025, CH issued an invoice/packing list # 9876874 for the shipment identifying Mohib as the party to bill/ship. The document lists the vehicle model and VIN on line one and “[l]ots of USED Engine” on line two. Charges for each line item were \$5,000 for a total of \$10,000. The invoice reflects payment in full but does not indicate whether Claimant or Mohib paid the invoice. *Id.* at Exh. D.
7. CH drafted an undated letter stating that, on behalf of Claimant, it arranged to ship his Mercedes from the United States to Dubai. The letter identified Mohib as the appointed shipping agent to handle all matters at the port, including customs clearance and delivery of the vehicle. The letter states that all shipment-related fees were fully paid. *Id.* at Exh. H.
8. CH contracted with RSA to arrange transportation of the vehicle and engine parts. On September 3, 2025, RSA issued shipping instructions for booking 25845122. The instructions listed RSA as forwarding agent, CH as exporter/shipper and Mohib as

consignee/importer. The shipment was to be transported from Newark, New Jersey, to Jebel Ali. *Id.* at Exh. B.

9. Maersk, the carrier, issued a non-negotiable waybill for booking 25845122 showing the Mercedes vehicle model and VIN, and auto parts scrap. The waybill lists the shipper as RSA and the consignee as Mohib. *Id.* at Exh. C.
10. RSA issued invoice RSA-1299 to Mohib for booking 25845122. The description of charges lists a previous unpaid balance of \$1,160 in addition to ocean freight with seven days of free time, trucking/chassis/detention, and customs and documentation fees for the current shipment totaling \$6,635.² *See* Mohib Email June 22, 2026 at 8:01.
11. On April 9, 2026 at 8:41 am, Mohib emailed Claimant stating “[w]e have import shipment against 10000 USD from Choudhary traders.we have all receipt. When cargo was shipped us Mr Faisal Asghar was not in contact with us.after arrival of the cargo he directly contacted us.choudhary traders didn’t requested us to return that shipment.any how later no we ready to return that shipment against the refund of expenses incurred by us at the port of loading and at the port of discharge” (spelling and grammar in original). In a follow up email on the same date at 9:49 pm, Mohib listed its import related charges as follows:

Freight and transportation	\$6,635
Cargo price	\$10,000
Duty transportation at POD	\$5,000
Car repair and handling & storage	\$1,000
VAT charges	5% of the sale value in UAE

April 9, 2026 Emails.

12. In November of 2025, Claimant filed a complaint with the police department in Dubai. C. Resp. Order, at Exh. F.
13. In January of 2026, Claimant’s attorney in Dubai sent a legal notice to Mohib asserting Claimant’s ownership rights to the vehicle. *Id.* at Exh. G.

IV. ANALYSIS

A. Burden of Proof

A claimant alleging a violation of the Shipping Act must prove its allegations by a preponderance of the evidence; in other words, demonstrate that the allegations are more probable than not. *See Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021) Order Affirming Initial Decision on Remand. When direct evidence is unavailable, inferences may be drawn from certain facts and

² The invoice bears an issue date of September 23, 2024, a full year prior to the booking for 258475122. It is unknown whether this relates to the balance forward on Mohib’s account or if it is a scrivener’s error.

circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp. v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993) adopted in relevant part 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994).

B. Alleged Violation of 46 U.S.C. § 41102(c)

Section 41102(c) of the Shipping Act states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

By regulation, the Commission also identified the following elements that must be met to establish a claim under section 41102(c):

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

Consistent with the authority discussed above, Claimant was asked to provide a detailed summary explaining how the challenged conduct of each of the named Respondents met the elements of a section 41102(c) claim. Order, at Q1.

Claimant alleges CH and RSA violated section 41102(c) because these entities were responsible for arranging the transportation of his vehicle but failed to complete the transaction by ensuring the vehicle was delivered into Claimant’s possession. *See* C. Resp. Order, at Q2. With respect to Mohib, Claimant alleges Respondent violated section 41102(c) by refusing to release the vehicle unless Claimant paid \$17,000 in alleged repair and storage charges. C. Resp. Order, at Q1.

1. Claims Against Respondents RSA and CH

The gravamen of Claimant’s allegations against CH and RSA is that they failed to perform contractual obligations to arrange delivery of the vehicle. Such allegations sound in contract rather than violations of the Shipping Act. While the FMC maintains jurisdiction over claims arising out of violations of the Shipping Act, common law claims rooted in contract lie exclusively with the courts. *Bimsha Int’l v. Chief Cargo Serv., Inc. and Kaiser Apparel, Inc.*, Docket No. 10-08, 2013 WL 9808692, at *1 (FMC Sept. 4, 2013); *Cargo One, Inc. v. COSCO*

Container Lines Co., Ltd., Docket No. 99-24, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000) (noting that claims alleging breach of contract violations are not properly before the Commission).

Claimant's allegations against CH and RSA are dismissed for lack of jurisdiction.

2. Claim Against Respondent Mohib

The Claim against Mohib involves allegations that Respondent conditioned release of Claimant's vehicle on payment of \$17,000 in unsubstantiated charges. Claimant alleges Respondent's demand for payment includes charges for unauthorized repairs to the vehicle and storage fees but has provided no documentation to support these charges. *See* Claim; C. Resp. Order, at Q2. These allegations, if established, would state a claim that falls within the Shipping Act. Claimant bears the burden of proving each element of 46 C.F.R. § 545.4(a)-(e) by a preponderance of the evidence.

As a threshold issue, Claimant must establish that Mohib is a regulated entity under the jurisdiction of the FMC. This requirement is not merely an element of the statute but also establishes FMC jurisdiction. "It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission." *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, Docket No. 00-02, 29 S.R.R. 394, 396, 2001 FMC LEXIS 7, at *9 (ALJ Sept. 20, 2001) (citing *The Government of the Territory of Guam v. Sea Land Serv., Inc.*, 28 S.R.R. 252, 265 (FMC 1998); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (ALJ 2000)).

The Shipping Act governs several categories of entities engaged in the international shipment of goods. To satisfy this jurisdictional element of section 41102(c), Claimant must demonstrate that Respondent was operating as a regulated entity - namely, an ocean common carrier, marine terminal operator, or ocean transportation intermediary. 46 U.S.C. § 41102(c). There is no assertion or evidence that Respondent Mohib operated as an ocean common carrier or functioned as a marine terminal operator. *See* Claim; 46 U.S.C. § 40102(15), and (18). Accordingly, the analysis focuses on whether Respondent functioned as an OTI. An OTI includes both ocean freight forwarders and NVOCCs. 46 U.S.C. § 40102(20). Although these entities perform different functions, each acts as an intermediary in arranging ocean transportation.

The record in the present case lacks clarity as to the role of Mohib as well as the nature of its relationship with CH. Claimant contracted with CH to arrange for transport of the Mercedes to Dubai and appointed Mohib as "shipping agent to handle all matters at the port." FF 7. CH issued invoice #9876874, purportedly billing Mohib \$10,000 for transportation services. The invoice reflects payment in full. FF 6. While Claimant asserts it paid all shipping charges, the record does not establish the identity of the payor of this invoice. C. Resp. Order, at Q1. CH also informed Claimant that it had selected RSA to perform the transportation services. *Id.* These are actions typically indicative of a forwarder that contracts with an NVOCC to ship goods and identifies a destination agent to handle matters at the foreign port. However, closer inspection of the evidence reveals an atypical scenario.

Mohib's accounting of its costs includes the \$10,000 reflected in the CH invoice #9876874 and indicates that it "import[ed] that shipment against 10000 USD from choudhary traders." FFs 10-11. This suggests that CH transferred \$10,000 to Mohib. Furthermore, Mohib's accounting also included the freight charges from RSA invoice RSA-1299. *Id.* Indeed, invoice RSA-1299 was billed directly to Mohib for \$6,635. FF 10. The documents present an atypical arrangement that makes Mohib's precise status difficult to determine. The shipping documents also do not identify Mohib as a destination agent, notify party or in care of agent on the shipping documents. Rather, Mohib is listed as the consignee, with the right to take possession of the cargo upon delivery on its own behalf and not merely as an agent to facilitate delivery to the consignee. FFs 8-9. The role of Mohib appears to extend well beyond that of a traditional destination agent. However, the precise nature of that role cannot be determined from the record.

A claimant bears the burden of demonstrating that the Commission has jurisdiction to adjudicate its claims. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket. No. 15-04, 2019 WL 4734299, at *12 (FMC July 16, 2019) (citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 188, 201 (ALJ 1998), *aff'd* 28 S.R.R. 751 (FMC 1999)). Claims asserted against non-regulated entities are appropriately dismissed. *TZ SSE Buyer, LLC v. COSCO Shipping Lines Co., Ltd.*, Docket. No. 24-09, 2025 WL 1675704, at *4 (ALJ June 2, 2025) (Notice Not to Review, July 3, 2025); *Auction Block Co. v. Fed. Mar. Comm'n*, 606 Fed. App'x. 347, 347-48 (9th Cir., 2015) ("For the Commission to have jurisdiction over an entity, the entity must be acting as a regulated entity in relation to the conduct at issue.").

Claimant was asked to explain how each element of a section 41102(c) violation was met with respect to the conduct of each named Respondent, the first element being whether Respondent is a regulated entity. Order, at Q1. Claimant's response for Mohib did not address this first element. C. Resp. Order, at Q2. The present record does not clearly establish Mohib's status as a regulated entity. This issue need not be resolved, however, because Claimant has not demonstrated that Mohib's conduct occurred on a normal, customary, and continuous basis. 46 C.F.R. § 545.4(b). In other words, Claimant has failed to demonstrate that Mohib had a practice of conditioning delivery of goods upon payment for unsubstantiated and unauthorized charges.

In rulemaking for 46 C.F.R. § 545.4, the Commission clarified that section 41102(c) is not intended to cover an isolated incident. Rather the purpose of the rule was to address a pattern of behavior on a "normal, customary, and continuous basis." 46 C.F.R. § 545.4(b). The types of business practices appropriately adjudicated under section 41102(c) involve practices that "negatively affect the broader shipping public." *MAVL Capital, Inc. v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 4554718, at *18 (FMC Sept. 29, 2021) initial decision on remand (citing *Notice of Proposed Rulemaking: Interpretive Rules, Shipping Act of 1984*, 83 Fed. Reg. 45367, 45368 (Sept. 8, 2018)).

The Commission articulated that it was rejecting a line of cases that held "discrete conduct with respect to a particular shipment, if determined to be unjust and unreasonable, represents a violation of section 41102(c), regardless of whether that conduct represents a respondent's *practice or regulation*." *Id.* (emphasis in original). The Commission explained, "[t]hese decisions diverge from consistent Commission precedent dating back to 1935 and reaffirmed as recently as 2001 which required that a regulated entity must engage in practice or

regulation on a *normal, customary, and continuous* basis in order to be found to have violated § 41102(c) of the Shipping Act.” *Id.* (emphasis in original).

The Commission reiterated this intent in the final rule stating the rule “was never intended to be a method of resolving every dispute that arises in the receiving, handling, storing or delivering of cargo.” *Interpretive Rule, Shipping Act of 1984 (Final Rule)*, 83 FED. REG. 64478, 64479 (Dec. 17, 2018). Instead, the Commission articulated that a violation of section 41102(c) historically requires a showing that, “... the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business.” *Id.* (citations omitted). “Commission precedent has made it clear that a single shipment or isolated act or omission does not show a pattern or practice.” *See Crocus Investments, LLC v. Marine Transportation Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *8 (FMC Aug. 18, 2021) (citing *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight Int’l Inc.*, Docket No. 17-02, 2020 WL 5406762 (FMC Sept 1, 2020)).

The Commission acknowledged that this interpretation would narrow the class of claims cognizable under the Shipping Act but concluded that this interpretation aligns more closely with the purposes of the Shipping Act. The Commission noted that traditional legal venues to adjudicate contract law, agency law or admiralty law would continue to be available to parties injured by a discrete instance of unreasonable and unjust conduct. *See Notice of Proposed Rulemaking: Interpretive Rules, Shipping Act of 1984*, 83 FED. REG. 45367 (Sept. 8, 2018).

Here, Claimant was asked whether he is aware of Mohib engaging in similar conduct with other entities or individuals. Order, at Q3. Claimant responded he was not aware of any other incidents with this entity and had no supporting evidence to provide. C. Resp. Order, at Q3. Similarly, the record does not provide evidence of any other instances of the same or similar challenged conduct on the part of Respondent.

Because Claimant has failed to produce evidence that the challenged conduct occurred on a normal, customary, and continuous basis, the remaining elements of 46 C.F.R. § 545.4 need not be addressed. Accordingly, Claimant has failed to establish that Mohib violated 46 U.S.C. § 41102(c).

Claimant may have valid claims against Respondents in alternative forums for their alleged actions. Nothing in this decision impacts Claimant’s right to pursue his claims for breach of contract or any other common law or criminal action in an appropriate forum.

V. ORDER

For the reasons discussed above, I **HEREBY ORDER** that Claimant's claims against Respondents RSA and CH are **DISMISSED**. It is

FURTHER ORDERED that Claimant's claim against Respondent Mohib is **DENIED**.
It is

FURTHER ORDERED that this case is **DISCONTINUED**.

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Debra L. Tesh
Small Claims Officer